

Advance Tax on the Transport Sector

 ura.go.ug/en/advance-tax-on-the-transport-sector

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The government introduced the advance tax on transport to simplify tax payments for those in the transport sector, increase revenue for road construction and maintenance, and widen the tax base. The tax is collected on motorcycles, passenger vehicles, and goods/freight vehicles with loading capacities above two tons and motorcycles.

NOTE:

- To arrive at the loading capacity, subtract the net weight in the log book from the gross weight, ie **Gross weight – Net weight = Loading capacity**
- Paying this tax is solely the responsibility of the owner of the vehicle.
- The owner of the vehicle is required to file a return at the end of the year of income to account for their taxes.

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What is advance income tax for transport sector?

This is a (income) tax that was introduced by the government of Uganda in respect to motor vehicles that carry out business in Uganda.

What kind of motor vehicles are taxed under the advance income tax?

Any kind of motor vehicle used for transporting anything for the purpose of carrying on businesses and earning an income i.e. passage vehicles (taxis), goods/freight vehicles, motorcycles, vehicles with loading capacities above two tons and motorcycles.

What is the purpose of this tax?

Tax payments for those in the transport sector, increase revenue for road construction and maintenance, and widen the tax base.

What amount of tax is payable per vehicle type.

S/N	Type of Vehicle	Amount in (UGX) per tonne or passenger per year.
1.	Goods vehicles above 2 tonnes	50,000 per tonne
2.	Trailers	50,000 per tonne
3.	Passenger vehicles (PSVs)	20,000 per passenger
4.	Buses	20,000 per passenger

Goods vehicles;

If a Load weight of a goods vehicle is 7 tones, the advance income tax is calculated as follows:

Tonnage X amount paid per ton (of load weight)

7 tones X 50,000

= 350,000 shillings per year

If an Omnibus carries 14 passengers, the advance income tax is calculated as follows:

Number of seats X amount paid per seat

14 seats X 20,000

= 280,000 shillings per year

If a bus is carries 67 passengers, the advance income tax is calculated as follows:

Number of seats X amount paid per seat

67 X 20,000

=1,340,000 shillings per year

Motorcycle (boda boda)

A boda boda is licenced to carry one person and therefore pays 20,000 shillings as income tax every year

NOTE: Please note that advance income tax is a creditable tax in that when you file your income tax return, you reduce the tax payable by the Advance Income tax.

How does one make payment of this tax?

1. Go to the URA Website
2. Select Make a payment
3. Select Click here to make a payment
4. Select Tax Head
5. Select Advance Tax for Motor vehicles
6. Select taxpayer details
7. Enter vehicle details

8. Enter payment details
9. Select Mode of payment (e.g. mobile money)
10. Enter text given
11. Submit